



“TAX CUT TO PUT MONEY INTO PEOPLES’ HANDS”

Tuhin Kanta Pandey, Finance and Revenue Secretary, and Arunish Chawla, Secretary of DIPAM, explain the macro philosophy of the Budget

BY SIDDHARTH ZARABI

strategy of the last few years to a consumption driven strategy?

Tuhin Kanta Pandey: I think this binary is not in order. In terms of narrative, of course, the tax break has taken the lead. But that is not to say that capex has been ignored. If you look at the capex in the last year, we have got two distinct elements in the Budget.

One is the direct capex and the other is indirect capex, which is through states. That means we are giving grants to the states. When we give grants, it is a revenue expenditure

about a 10% increase over the RE. But if you add it together, it is 17% growth over the RE.

We had some exceptional circumstances last year, like the General Elections and excessive rains, so we did not really have the full year, in terms of the capex. That is not going to be the case this year.

On income tax relief, yes, it is a way of putting money into the hands of the people, especially the middle class. And it can go into consumption, it can also go into investment.



PHOTOS BY HARDIK CHHABRA

UNION BUDGET

2025-26, presented on February 1, had a bunch of proposals that will have implications down the line. Tuhin Kanta Pandey, Finance and Revenue Secretary, and Arunish Chawla, the Secretary of the Department of Public Asset Management, explain some of these

aspects of the Finance Bill. Edited excerpts:



This Budget sticks to fiscal consolidation even as it has done something for people who opt for the new tax regime. On infrastructure, has the government shifted away from the capex-driven

for us; it is not treated as capex, but it is capex when it is spent into the economy by the states. For the economy, both are capex. And that figure is not ₹11 lakh crore, it was about ₹15 lakh crore. And when you look at the figures in the Revised Estimates (RE), we are going from ₹10 lakh crore to ₹11.2 lakh crore, it's



How is the government confident of achieving the disinvestment target of ₹47,000 crore, and where do you see it accruing from?

Arunish Chawla: There is no fixed disinvestment target. What you are talking about is an indicative number for asset monetisation as a whole. We do